Accounting

Q. What is Accounting? Explain features and advantages of accounting. Explain classification of accounting.

Accounting is the process of recording, classifying, summarizing, and interpreting all the financial transactions of a business.
It helps a business to keep track of its money – what it earns, what it spends, and what it owns.

Simple example:

If a shopkeeper notes down all sales, purchases, and expenses daily in a notebook, that is basic accounting.

Features of Accounting :-

1. **Systematic Process** – It follows proper steps (recording → classifying → summarizing → reporting).
2. **Records Financial Transactions Only** – It only deals with transactions that involve money.
3. **Expressed in Money Terms** – Everything is shown in terms of money (₹, $, etc.).
4. **Provides Business Results** – It tells if a business is making profit or loss.
5. **Helps in Decision Making** – Based on accounting data, business decisions are made.
6. **Maintains Records** – Keeps track of all past financial activities.

Advantages of Accounting :-

1. **Tracks Income and Expenses** – Helps to know where money is coming from and where it is going.
2. **Helps in Decision Making** – Owner can make smart choices based on profit/loss.
3. **Legal Requirement** – Helps in filing taxes properly.
4. **Prepares Financial Statements** – Like Balance Sheet, Profit & Loss account.
5. **Useful to Stakeholders** – Investors, banks, government, and owners get useful info.
6. **Prevents Frauds and Mistakes** – Keeps accurate records which can be checked anytime.

Classification of Accounting :-

Accounting is classified into **three main types**:

1. **Financial Accounting**
   - It records day-to-day business transactions.
   - Prepares financial reports like **Profit & Loss Account** and **Balance Sheet**.
   - Main users: owners, investors, tax authorities.
2. **Cost Accounting**
   - It finds out the **cost of producing goods/services**.
   - Helps in controlling cost and fixing the selling price.
   - Main users: internal management.
3. **Management Accounting**
   - It provides financial information to **help managers** take decisions.
   - Focuses on planning, forecasting, budgeting, etc.
   - Not shared with outsiders.

Q) What is accounting standard? Why it is used?

An Accounting Standard is a set of rules, principles, and guidelines made by recognized accounting bodies to ensure that all financial statements are prepared and presented **in a** uniform and consistent manner.
These standards tell:

- How to record financial transactions
- How to show assets, liabilities, income, and expenses in financial reports

In India, accounting standards are issued by ICAI (Institute of Chartered Accountants of India).
Internationally, they are issued by IASB (International Accounting Standards Board).

Definition :--
"Accounting Standards are written policy documents issued by expert accounting bodies that help ensure consistency, comparability, and transparency in the financial statements."

Objectives of Accounting Standards :--

1. To bring uniformity in accounting practices
2. To ensure transparency and true financial position
3. To reduce manipulation of data by companies
4. To help in comparison of financial results across years or with other companies
5. To protect stakeholders (investors, banks, public) from false financial reporting

Why Accounting Standards Are Used :--

Here are the main reasons (uses) for using accounting standards:

1. Uniformity in Financial Reporting

- All companies follow the same format and rules.
- Makes financial statements easy to compare.

Example: Two companies using the same method to calculate depreciation helps investors compare profits correctly.

2. Improves Reliability and Accuracy

- Standards remove personal judgment or tricks.
- Financial data becomes trustworthy and error-free.

3. Legal and Regulatory Compliance

- In many countries, it is mandatory to follow accounting standards.
- Helps follow tax rules, audit requirements, and government regulations.

4. Better Decision Making

- Financial statements based on proper rules give true picture of business.
- Helps managers, investors, and lenders make the right decisions.

5. Reduces Fraud and Manipulation

- Companies can't hide or twist financial data when standards are followed.
- Increases honesty and public trust.

6. Improves Global Understanding

- International standards (like IFRS) help foreign investors understand Indian companies too.

Examples of Indian Accounting Standards (AS) :--

Standard No.	Name	Purpose
AS-1	Disclosure of Accounting Policies	Tells which policies a company follows
AS-6 (old)	Depreciation Accounting	Tells how to record fall in value of assets
AS-10	Fixed Assets	How to value and record land, buildings, machinery etc.
AS-2	Valuation of Inventories	Tells how to calculate value of stock (inventory)

Q) What is Assets and Liabilities? Explain its Types.

What are Assets :--
Assets are the things a business owns that have value. These can be used to:

- Run the business,
- Earn money, or
- Be sold in the future.

Simple Example:
Cash, buildings, land, furniture, machines, inventory, etc.

Definition:
"Assets are resources owned by a business that have economic value and can provide future benefits."

Types of Assets --:
Assets are classified into **different types** based on their nature and use:

◆ **1. Current Assets**

- These are assets that can be **converted into cash within one year**.
- They are **short-term** assets used in day-to-day operations.

Examples:

Cash, inventory, accounts receivable, prepaid expenses.

◆ **2. Fixed Assets (Non-Current Assets)**

- These are **long-term assets** used for several years.
- Not easily converted into cash.

Examples:

Buildings, land, machines, furniture, vehicles.

◆ **3. Tangible Assets**

- Assets that can be **seen or touched physically**.

Examples:

Cash, land, tools, computers, etc.

◆ **4. Intangible Assets**

- These are **non-physical assets** but still have value.

Examples:

Goodwill, patents, trademarks, copyrights.

◆ **5. Fictitious Assets *(Not real assets, just accounting names)***

- These are **not real assets** but shown in accounts for technical reasons.

Examples:

Preliminary expenses, advertisement expenses.

What are Liabilities :---

Liabilities are the amounts a business owes to others.
It is the money the business is **required to pay back** to someone in the future.

Simple Example:

Loan from bank, money owed to suppliers, salary payable.

Definition:

"Liabilities are the obligations or debts that a business has to pay in the future."

Types of Liabilities --:

Liabilities are also divided into types based on their payment period and nature:

◆ **1. Current Liabilities**

- Debts that must be paid **within one year**.

Examples:

Bills payable, wages payable, short-term loans, creditors.

◆ **2. Non-Current Liabilities (Long-term)**

- Debts that will be paid **after one year**.

Examples: Long-term loans, debentures, bonds, mortgage.

🔹 **3. Contingent Liabilities**

- These are **possible future liabilities** that may or may not happen.

Examples:

Lawsuit against the company, guarantees given.

(Not shown in Balance Sheet directly, only mentioned as a note.)

🔹 **4. Secured Liabilities**

- Loans that are **backed by an asset as security**.

Example:

Car loan (if company fails to pay, the lender can take the car).

🔹 **5. Unsecured Liabilities**

- Loans or debts **without any security or guarantee**.

Example:

Trade creditors, credit card dues.

Q) Explain journal and it's templates and it's uses with a suitable example.

A journal is the first book where all financial transactions of a business are recorded in the order they happen.

It is also called the book of original entry.

Every transaction is written using the double-entry system, where:

- One account is debited
- Another account is credited

Simple Meaning:

Journal is like a diary of transactions – written as they occur, with proper details.

<u>Format (Template) of Journal Entry :--</u>

Here is the standard **journal format** used in accounting -----

Date	Particulars	L.F.	Debit Amount (₹)	Credit Amount (₹)
	[Name of Debit Account] Dr.		Amount	
	To [Name of Credit Account]			Amount
	(Narration – brief explanation)			

Explanation of Each Column :--

- **Date:** When the transaction happened.
- **Particulars:** Names of the accounts involved.
  Debit account is written first, then credit account with "To".
- **L.F. (Ledger Folio):** Page number of ledger where this entry is posted.
- **Debit/Credit Amount:** The value involved in the transaction.
- **Narration:** Short description of the transaction.

Uses of Journal :--

1. **Chronological Record**
   – Records transactions in the order they occur (day-by-day).
2. **Complete Details**
   – Each entry includes both debit and credit along with a short explanation.
3. **Helps in Ledger Posting**
   – Entries from journal are transferred to ledger easily.
4. **Basis for Final Accounts**
   – Trial balance and final accounts are prepared from journal.
5. **Proof of Transaction**
   – It acts as evidence in case of disputes or audits.

Example of Journal Entry :--

Let's say, on **1st July**, a business **purchases furniture for ₹5,000 in cash**.
Journal Entry -----

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
01/07/2025	Furniture A/c Dr.		5,000	
	To Cash A/c			5,000
	(Being furniture purchased for cash)			

Q) Explain Ledger, its templates, and its uses with a suitable example.

A **ledger** is the **main book** of accounts where all **journal entries** are posted **account-wise**.

After transactions are first recorded in the **journal**, they are transferred (posted) to the **ledger**, where each account (like Cash, Rent, Sales, etc.) has its own page.

Simple Meaning: Ledger is like a **final register** where all the financial transactions are **sorted account-wise**.

Purpose of Ledger :--

- While the **journal shows** transactions in **date order**,
- The **ledger groups them by account** – like all cash transactions go under **Cash A/c**, rent transactions under **Rent A/c**, and so on.

This helps in finding:

- Total amount of cash
- Total expenses, total income
- Balance of any account

Format (Template) of Ledger :--

A ledger account is usually made in **T-shape** or **two-column format**, like this :

🔹 **T-Format Ledger Template**

Cash Account

Debit Side   Credit Side

Date | Particulars | Amount | | Date | Particulars | Amount

|---------|--------------|----------| |---------|-------------|--------

01/07/25 | Capital A/c | 10,000 | | 03/07/25| Rent A/c | 2,000

🔹 **Column-wise Format Ledger Template**

Date	**Particulars**	**J.F.**	**Amount (Dr.)**	**Date**	**Particulars**	**J.F.**	**Amount (Cr.)**
01/07/25	Capital A/c		10,000	03/07/25	Rent A/c		2,000

Uses of Ledger :-

1. 📘 **Classifies Transactions**
   – Groups all similar transactions under one account (like Cash A/c, Purchase A/c).
2. 📊 **Shows Account Balances**
   – Helps to find closing balance of every account (like cash balance, sales total, etc.)
3. 📋 **Helps in Trial Balance**
   – Ledger balances are used to prepare a trial balance, which leads to the final accounts.

4. 🧾 **Easy to Understand**
   – Shows **total debit and total credit** of each account clearly.

5. 📈 **Helps in Business Analysis**
   – By looking at ledger accounts, a business can easily analyze **income, expenses, profits, losses**, etc.

<u>Example of Ledger Entry :--</u>

Let's say a business starts with **₹10,000 cash** as capital on 1st July and pays **₹2,000 rent** on 3rd July.

First, the journal entries would be:

1. **Cash A/c Dr. 10,000**
   To Capital A/c 10,000

2. **Rent A/c Dr. 2,000**
   To Cash A/c 2,000

Now, in **Cash Account Ledger**:

Cash Account

Debit Side   Credit Side

Date	Particulars	Amount		Date	Particulars	Amount
01/07/25	Capital A/c	10,000		03/07/25	Rent A/c	2,000

- **Closing Balance = 10,000 – 2,000 = ₹8,000**